

the minor low at point C. Notice that there is only one minor high (point B) and two minor lows (A and C), but the second minor low, point C, is not included in the triangle trendline boundary. Not only are there missing minor highs and lows, but the bottom trendline is drawn incorrectly as well.

The whitespace in the center of the triangle is often a clue to an improperly identified triangle. Price should cross the triangle and fill the space, but it doesn't in this case.

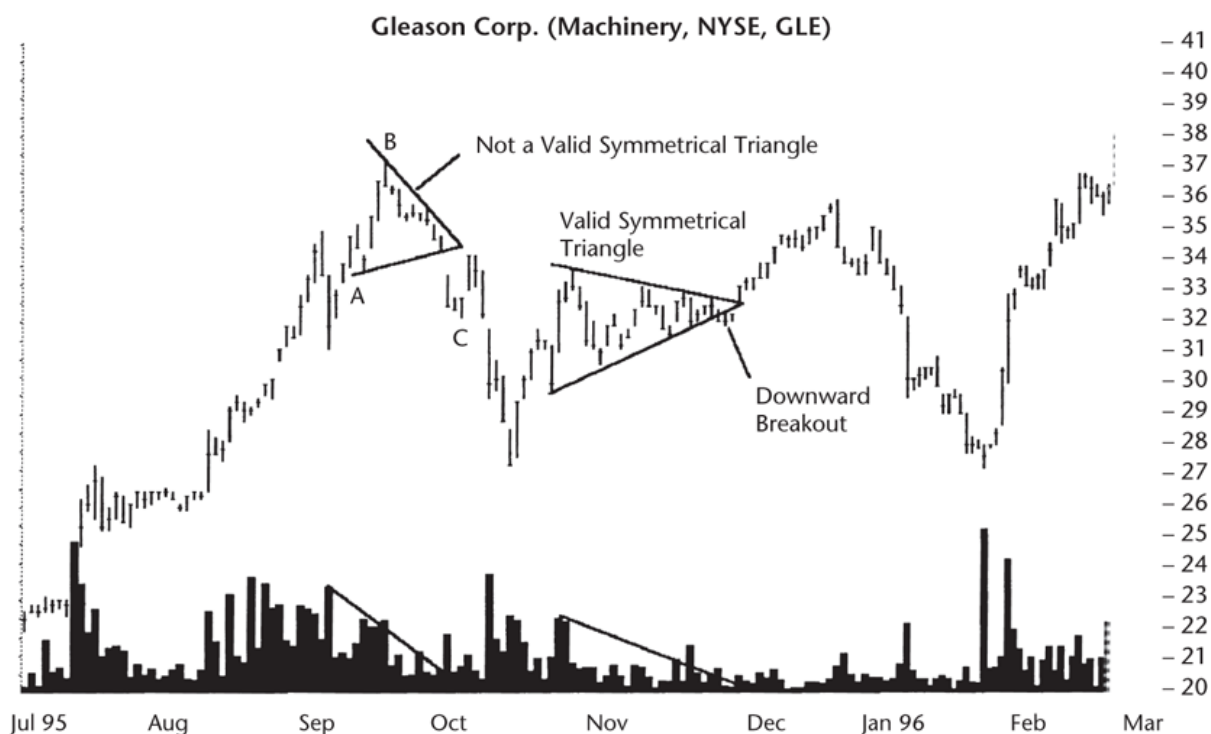


Figure 66.3 Two symmetrical triangles, one valid, the other invalid. The triangle on the right shows a downward breakout which busts. The pattern on the left is bogus.

The pattern on the right is a valid symmetrical triangle. It has plenty of minor highs and lows that touch the two trendlines. Price crosses the pattern from top to bottom enough times that it fills the whitespace. Notice the difference between the right pattern and the left one.

Just before the triangle's apex, price dips outside the trendline boundary, pulls back, and moves sharply higher.

When price moves no more than 10% away from the triangle, and then reverses to close either above the top of the pattern or below the bottom of